

ic. Consequently, this resulted in a decline in profits to ₹1,271 crore in FY22 compared to a profit of ₹1,473 crore in FY21. Dasgupta says that while the claims continue to be high, the combined ratio should be within the target range of 103-104 per cent in FY23.

In the motor insurance business, ICICI Lombard is already a leader with a market share of 11.8 per cent in FY22. The segment is also the largest contributor to its product mix at 46 per cent. But one area of concern was the intense competition in the motor own-damage (OD) segment that resulted in an increase in loss ratio to 74.3 per cent in Q2FY23 from 62.8 per cent in Q2FY22. However, the management expects some cooling off in competition intensity in the next few quarters. "OD pricing is far more aggressive and, hence, we have taken a cautious approach to write businesses in that segment," says Balachandran. Incidentally, the loss ratio in the motor third party (TP) segment improved to 66.6 per cent in Q2FY23 from 74.6 per cent in Q2FY22.

for Covid-19 because none of us anticipated it. Despite that, the industry paid a huge amount in claims. In the future, if there's a consistent increase in healthcare costs in the country, or if more people go to the hospital because of [issues like] long Covid-19, or fear psychosis, then the premiums will have to work," says Dasgupta.

DIGITAL BOOSTERS

Another area blinking on Dasgupta's radar is digital. The fact that the insurer has carved out its digital business into a separate unit to compete like a start-up speaks volumes about its digital focus. Its digital business grew by 24.5 per cent in Q2FY23, and accounted for 4.4 per cent of its overall gross direct premium income in the quarter. Direct premiums are the total premiums received before deducting the reinsurance amount.

While the company has been focussing on digital sales, Irdai has also announced the roll-out of an online marketplace called Bima Sugam, in 2023. So, how will it

FOR HIGHER GROWTH IN RETAIL HEALTH, IT HAS PUT IN PLACE A STRATEGY OF RECRUITING AGENCY MANAGERS WHO HIRE AGENTS, AND THE AGENTS THEN BRING IN THE BUSINESS

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Loss ratio is calculated by dividing the total claims paid by the total premiums collected. The lower the ratio, the more profitable an insurer is. Combined ratio is calculated by taking the sum of incurred losses and expenses and then dividing them by the earned premium.

While the insurer's health insurance premiums are growing, its claims are also rising, which can prove to be costly. Another looming threat is the rising Covid-19 cases around the globe. "Consequent to the billings that we see from the hospitals, we are able to get reasonable price increases on the overall corporate health book. That's why we continue to write those policies. And despite the revisions in pricing, our customer retention rate [remains] at 90 per cent-plus," says Balachandran, adding that retail health is a long-term portfolio. And therefore, its outcome needs to be constantly monitored to make effective price revisions when needed.

The last price revision that ICICI Lombard did was in Q3FY21, where the weighted average price was increased by roughly 8 per cent. So, is an increase in premiums on the anvil? "As an industry we had not priced

affect the digital business of insurers? "There's a lot of discussion about what will be done there. One thought is to come up with new types of products that addresses certain customer segments, which will be available through Bima Sugam. Beyond that... a lot is being done to make it accessible to segments of customers who don't have access to insurance," says Dasgupta.

ICICI Lombard's thrust on digital can also be gauged from the fact that its "IL TakeCare" app has surpassed 3 million user downloads to date, and the insurer spent ₹823 crore in FY22 to develop its tech infra.

As Dasgupta focusses on the growth of the company, the insurance regulator has come up with a consultation paper to cap the tenure of MDs and CEOs of insurance firms at 15 years, in line with the Reserve Bank of India's mandate for banks. Although it is still at the proposal stage, the winds of change might soon blow over the insurer as its seasoned leader heads into his 15th year at the helm of the company. **BT**

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